

March 23, 2026
Dept. 9
Probate Tentative Rulings

3.	25PR0361	IN THE MATTER OF THE BAXTER FAMILY TRUST

This is a Petition to modify the terms of a Trust pursuant to the authority granted by Probate Code § 15409 based on unanticipated circumstances.

The Trust is being administered by a professional fiduciary, who submitted this Petition. The trustee was appointed by Court Order as part of a 2019 settlement agreement between four of the five named beneficiaries who fell into conflict while the surviving settlor was alive. The dispute included Trust assets and the conservatorship of the surviving settlor. Petition, Exhibit A.

Pursuant to the settlement agreement a share of the assets of the Trust were to be held in trust for the fifth beneficiary (“Beneficiary”) until the trustee felt that the Beneficiary “is living a productive and respectable life and lifestyle,” including achieving some “accomplishments” defined to include “education success, attainment of usable job skills, demonstrated ability to follow generally acceptable rules and standards of society, positive contribution to the community”, as well as a drug and alcohol free state as established by mandatory periodic testing. The Trust funds were available to provide for the Beneficiary’s “health and welfare”, including the “cost of rehabilitation and programs to help with these type of situations.” If the Beneficiary could not achieve this state within five years of the death of the settlor the Beneficiary’s share would lapse and be distributed to the other beneficiaries of the Trust.

The Petition states that the Beneficiary has been diagnosed with multiple serious mental health conditions and has just been released from a locked facility. See Petition, Exhibit C. The Beneficiary has minimal social security income and is subject to a conservatorship. While he is drug and alcohol free, he is not able to meet the “accomplishments” requirements of the Trust. If his share of the Trust lapses and is distributed to the other beneficiaries, he will have no means of support. The trustee believes that the settlors intended to provide for his “health and welfare”, and did not anticipate that he would be subject to conservatorship and diagnosed with serious mental health conditions.

Accordingly, the Petition proposes alternate provisions for the Beneficiary’s special needs for the remainder of his life. Distributions would be at the trustee’s discretion to supplement but not supplant public benefits, to make the Beneficiary’s life comfortable and enjoyable, but without direct distributions to the Beneficiary or to reimburse the Beneficiary for any purchase he makes, and generally to make distributions for the Beneficiary’s health, safety and welfare. Upon his death any remainder would be allocated among the remaining beneficiaries of the Trust.

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Probate Code § 15409(a) provides:

On petition by a trustee or beneficiary, the court may modify the administrative or dispositive provisions of the trust or terminate the trust if, owing to circumstances not known to the settlor and not anticipated by the settlor, the continuation of the trust under its terms would defeat or substantially impair the accomplishment of the purposes of the trust. In this case, if necessary to carry out the purposes of the trust, the court may order the trustee to do acts that are not authorized or are forbidden by the trust instrument. It requests that several restrictive conditions on payments from the Trust to a named beneficiary be modified to reflect the intention of the settlors and the best interests of the Beneficiary.

The Petitioner has provided notice of the hearing on the Petition to all beneficiaries of the Trust.

At the hearing on February 9, 2026, the Court continued the matter because a party with an objection appeared at the hearing. No written objection has been filed.

TENTATIVE RULING #3: APPEARANCES ARE REQUIRED AT 8:30 A.M. ON MONDAY, MARCH 23, 2026, IN DEPARTMENT NINE.